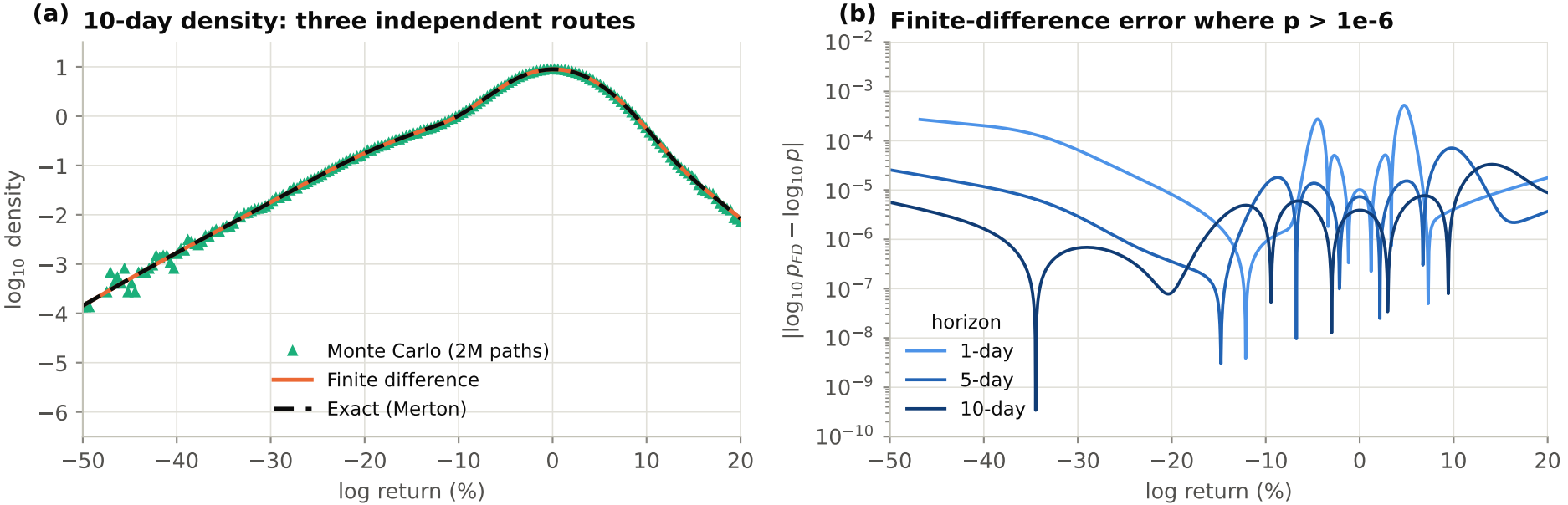
(a)
10-day density: three independent routes
log10 density
log return (%)
Monte Carlo (2M paths)
Finite difference
Exact (Merton)
(b)
Finite-difference error where p > 1e-6
|log10 pFD − log10 p|
log return (%)
horizon
1-day
5-day
10-day